

allowance. The methods employed reveal an extraordinary variety, no less than seven calling for description, as follows:

A. Depreciation Proper.

1. *Straight-Line Method.* Each class of depreciable property is written down to salvage value by equal annual charges during the period of its estimated life. This is the standard method of calculating depreciation, permitted by the revenue acts and generally followed by all companies in *their income tax returns*. Surprisingly few electric and gas companies, however, have employed this method in their published income accounts.

Example: Union Electric Company of Missouri, a subsidiary of North American Company, has used the straight-line method for a number of years. But even here the company's reported allowance is less than that claimed on its income tax return (\$3,899,205 vs. \$5,549,109 in 1937) the difference being due apparently to assuming a shorter life for tax purposes than for annual report purposes.

As will be pointed out later, recent regulations adopted by state commissions and by the Federal Power Commission are now necessitating a change-over by many companies to the straight-line or standard method in their reported earnings.

2. *Sinking-Fund Method.* Allowance is here made for the fact that amounts set aside for depreciation will earn interest until the property is retired. The effect of this method is to make the deductions somewhat smaller in the earlier years and correspondingly higher in the later years. It is generally used by California utility corporations under agreements with the Railroad Commission of the state, the rate of interest allowed being 6%. (*Examples:* Pacific Gas and Electric, San Diego Consolidated Gas and Electric.) Even here the companies take the straight-line basis in their tax returns.

3. *The Over-All Method.* This applies a single annual percentage to the entire depreciable property account, instead of varying rates to different classes of assets. The object, presumably, is to arrive at a simple approximation of the actual depreciation.

Example: Commonwealth Edison deducts 3% of the average book value of depreciable property.

B. Retirement Reserve Methods. The distinguishing feature of a retirement reserve is that it does not seek to measure the depreciation during a given period caused by wear and tear or obsolescence. Instead it is supposed to provide funds that, in the opinion of the management, will be